

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

USL AUTO EXPORTING INC., *Complainant*

v.

EASY SHIPPING CORPORATION, *Respondent*.

DOCKET NO. 23-13

Served: December 12, 2024

ORDER OF: Mary A. HERVEY, *Administrative Law Judge*.

ORDER FOR SUPPLEMENTAL INFORMATION

Complainant USL Auto Exporting, Inc. (“USL”) initiated this proceeding by filing a complaint against Respondent Easy Shipping Corporation (“Easy Shipping”) with the Federal Maritime Commission (“FMC or Commission”), alleging Respondent violated 46 U.S.C. §§ 41102(c) and 41104(a)(3) and seeking an award of damages. In a subsequently filed motion for summary judgment, Complainant also asserted a claim pursuant to 46 U.S.C. § 41104(a)(A), which Judge Chintella, the prior administrative law judge (“ALJ”) for the proceeding, interpreted to have been intended to assert a claim pursuant to 46 U.S.C. § 41104(a)(2)(A), in the order denying the summary judgment motion due to the existence of a genuine issue of material fact. On November 21, 2024, the proceeding was reassigned to the undersigned ALJ.

Upon review of the record, the undersigned finds that it has not been fully developed due in large part to Respondent’s repeated failure to comply with applicable rules and orders entered by Judge Chintella. For example, Respondent failed to file a verified answer in accordance with the Commission’s Rules. Rather, Respondent filed an unsworn Response for Memorandum of Facts with exhibits that did not contain “a specific admission, denial, or explanation of facts alleged in the complaint, or if respondent is without knowledge or information a statement to that effect.” 46 C.F.R. § 502.62(b)(2)(iii). Respondent also failed to file a brief, proposed findings of facts, appendix, and response to proposed findings of fact by July 24, 2024, in accordance with the scheduling order dated March 18, 2024. Finally, Respondent did not file a response to Complainant’s Renewed Motion for Summary Judgment filed March 25, 2024, despite the fact that Judge Chintella noted in a May 24, 2024, Order to Show Cause and Denying Motion to Compel Without Prejudice that Respondent had failed to file a response after an earlier warning in the March 18, 2024, Order Denying Complainant’s Motion for Default Judgment that “any further failure to comply with Commission rules or my orders may result in adverse inferences, default, or dismissal.” Because much of probative evidence in this proceeding is peculiarly within the knowledge and control of Respondent, the undersigned finds that Respondent’s inaction negatively impacts the ability of the undersigned to conduct a fair hearing in accordance with the requirements of the Administrative Procedures Act 5 U.S.C. §§ 554, 556, 557. Pursuant to 5 U.S.C. § 556(c)(4), a presiding officer is permitted to take depositions when the ends of

justice would be served. The term deposition allows for the taking of a deposition by written questions. 46 C.F.R. § 502.144.

For the foregoing reasons, Complainant and Respondent are directed to supplement the record by answering the questions set forth below. Their answers should be received no later than January 3, 2025. Both responses shall be signed under oath and subject to the penalty of perjury in accordance with 28 U.S.C. § 1746.¹ Both parties are on notice that the failure to answer these questions may give rise to adverse inferences, default, or dismissal.

Complainant and Respondent

1. During the time period at issue, did Easy Shipping Company serve as a non-vessel operating common carrier (“NVOCC”), freight forwarder, or both? Set forth the factual basis in support of your assertion.
2. Identify all entities that served as a non-vessel operating common carrier or freight forwarder with respect to the shipment at issue. Set forth the factual basis in support of your assertion.
3. Set forth the material terms of the April 13, 2023, agreement between the parties related to the shipment of the cargo at issue in this proceeding. Provide copies of all written agreements.
4. Identify with specificity each item of cargo that was loaded onto the container in Savannah, Georgia in April 2023. Include make, model, year, and vehicle or vessel VIN number.
5. Identify with specificity each item of cargo that was later returned to Savannah, Georgia. Include make, model, year, and vehicle or vessel VIN number.
6. State what caused the cargo description in the container returned to Savannah, Georgia to differ from the cargo listed on the bill of lading attached as Exhibit F to the complaint. Provide copies of all documents that support your assertion.
7. Identify who was responsible for the fact that the cargo in the container returned to Savannah, Georgia differed from the cargo listed on the container’s bill of lading attached as Exhibit F to the complaint, and forth the material facts in support of your assertion.
8. State whether or not the container loaded in Savannah, Georgia in April 2023 contained items banned from import to Libya. If your answer is affirmative, identify all banned items.

¹ Pursuant to 28 U.S.C. § 1746, the parties should execute and sign their responses at the end of the document as follows: “I declare (or certify, verify, or state) under the penalty of perjury that the foregoing is true and correct. Executed on (date). (Signature).”

9. State the first date you became aware that the container loaded in Savannah, Georgia contained items banned from import to Libya and the manner by which you became aware. Provide copies of all documents that support your assertion.
10. State whether Complainant and/or Respondent knew prior to loading that the container in Savannah, Georgia would contain cargo that was banned from import to Libya.
11. State whether or not personal watercraft/jet skis and Toyota Tundra trucks were banned from import to Libya at the time of the shipment at issue in this proceeding.
12. State the reason why the container at issue in this proceeding was returned to Savannah, Georgia. Provide copies of all documents that support your assertion.
13. What is Ahmed Shipping? What is its role in connection with the shipment at issue?
14. Who is Ahmed Sadek? What is his role in connection with the shipment at issue?
15. Who is Mohamed Elboghdady? What is his role in connection with the shipment at issue?
16. Who provided the certificates of title attached as Exhibit E to Respondent's response, to whom were they provided, and for what purpose were they provided?
17. What was the ultimate disposition of the cargo at issue?

Complainant

1. State whether or not you allege a violation of the Shipping Act pursuant to 46 C.F.R. § 41104(a)(2)(A) in addition to 46 C.F.R. § 41104(a)(3) and 46 C.F.R. § 41102(c). If so, set forth the factual basis for your assertion.
2. To the extent you assert a claim under 46 C.F.R. § 41104(a)(2)(A), set forth the material facts showing that Respondent provided services not in accordance with a published tariff or service contract. Provide copies of all documents that support your assertion.
3. To the extent you assert a claim under 46 C.F.R. § 41104(a)(3), set forth the material facts showing that Respondent refused cargo space or engaged in unfair or unjust discrimination. Provide copies of all documents that support your assertion.
4. Set forth all material facts you rely on to support a finding that Respondent engaged in an unreasonable practice on a normal, customary, and continuous basis with respect to the shipment at issue. Provide copies of all documents that support your assertion.

5. Set forth the factual basis for your allegation that the shipment at issue involves co-loading with another NVOCC, and identify the other NVOCC. Provide copies of all documents that support your assertion.
6. Set forth the factual basis for your claim that Respondent failed to comply with 46 C.F.R. § 520.11.
7. State whether or not your original request for booking included the words “Yamaha Motorcycle” at the top as shown in Respondent’s response Exhibit A, and if so, explain its significance and the message it was intended to convey.
8. State whether or not you sent motorcycle photos to Respondent on April 20, 2023, as shown in Respondent’s response Exhibit I. If so, please explain why you sent photos of a motorcycle despite the fact that both the vessel title and dock receipt at Respondent’s response Exhibits E and F show that the container contained a personal watercraft.
9. Explain why you provided Respondent with the VIN number for a 2017 Toyota 4Runner in the text message attached as Exhibit J to Respondent’s response despite that the dock receipt shows that a 2005 Toyota Tundra was loaded on the container.
10. State whether or not the breakdown of damages in your Renewed Motion for Summary Judgment sets forth the total amount of actual injury you claim. If not, please provide a breakdown of damages.
11. What is the date of injury for each component of your damages claim? Set forth the factual basis for each date asserted.
12. Explain why you are entitled to damages in the amount of \$3,300 for original freight charges (Invoice #NAOB0316822) given that the amount shown due on the invoice attached as Exhibit E to the complaint is \$2,865.
13. Explain why you paid \$3,300 for original freight charges if the invoiced amount was only \$2,865. Provide copies of all documents that support your assertion.
14. Explain how the \$3,300 checking deposit slip attached as Exhibit E to the complaint establishes your payment in that amount to Respondent on May 9, 2023.
15. Explain how the receipts attached as Exhibit H to the complaint purporting to show transfers to Mohamed Elboghday establish your payment to Respondent of returned freight charges in the amount of \$4,310.52.
16. Please state the factual basis for your damages claim for the cost of the four vehicles at issue in this proceeding. Provide copies of all documents that support your assertion.

17. For each vehicle cost claim, please set forth the factual basis for the valuation asserted and submit evidence to support the value asserted.
18. What evidence supports your claim for loading costs in the amount of \$800? Provide copies of all documents that support your assertion.
19. What evidence supports your claim for towing charges in the amount of \$1,800? Provide copies of all documents that support your assertion.
20. What evidence supports your claim of lost profits in the amount of \$12,000? Provide copies of all documents that support your assertion.
21. Identify all detention and demurrage charges you paid related to the shipment at issue. Provide copies of all documents that support your assertion.
22. Identify all evidence of out-of-pocket costs you incurred related to the shipment at issue. Provide copies of all documents that support your assertion.

Respondent

1. On what date and how did you first become aware that the container at issue in this proceeding was going to be returned to Savannah, Georgia.
2. On what date and how did you first advise Complainant that the container was being returned?
3. What actions did you take to mitigate the damages incurred by Complainant once you learned that the container was being returned?
4. What rate did you charge Complainant for the shipment at issue?
5. What was the applicable tariff rate for the shipment at issue? Provide a copy of your tariff rates and rules supporting your charges to Complainant.
6. Did you provide Complainant with information regarding the import restrictions applicable to Libya? If so, please describe the information provided, the date and matter in which it was provided. Provide copies of all documents that support your assertion.
7. State whether or not you filed the Importer Security Filing (ISF) for the container returned to Savannah. If you did, please state the date it was filed and provide a copy. If you did not, please state why you did not.
8. State whether or not you classified the inbound shipment to Savannah, Georgia as a returned container, and if not, why not.
9. Provide a copy of the house bill of lading for the shipment at issue.

10. Who provided the item description information on the master bill of lading attached to the complaint as Exhibit F?
11. Why does the bill of lading attached to the complaint as Exhibit F show a 2017 Toyota 4 Runner and 2017 Yamaha FX despite that the dock receipt and vehicle vessel title attached to the complaint as Exhibit C and Respondent's response at Exhibit E show a 2005 Tundra and a 2012 Yamaha FX SHO personal watercraft?
12. Who is responsible for the misdeclaration of cargo resulting in the \$2,000 misdeclaration fee? Set forth all facts that support your assertion. Provide copies of all documents that support your assertion.
13. State whether or not you passed the financial responsibility for the \$2,000 misdeclaration fee on to Complainant, and if so, please explain why you did not pay the fee.
14. State whether or not you notified Complainant of the misdeclaration fee related to the shipment at issue, and if so, the date and manner by which you gave notice. Provide copies of all documents that support your assertion.
15. State whether or not you partially paid invoice NAOB0367804 resulting in a deficit of \$310.52? If so, please explain why the invoice was not paid in full.
16. State whether or not Complainant paid you \$3,300 on May 9, 2023, for the freight charges related to the shipment at issue.
17. State whether or not Complainant paid you the returned freight charges in the amount of \$4,310 over four installments on July 18, and 19, 2023.
18. State the date and amount of all payments made to you by Complainant related to the shipment at issue in this proceeding.
19. State the date and amount of all payments made by you to the ocean common carrier related to the shipment at issue in this proceeding.
20. State what actions you took with respect to the shipment at issue after you received full payment from Complainant for the services you rendered.

Given that the record documents that repeated warnings have been given to Respondent concerning the consequences of its failure to participate fully in this proceeding and obey applicable orders and rules, Respondent is on notice that its failure to respond to Complainant's Renewed Motion for Summary Judgement within 15 days of service of this order will result in entry of default against Respondent pursuant to § 502.65(a)(2).

Because the record has not been fully developed or briefed, Respondent's Motion for Conference is premature and DENIED without prejudice on that basis.

Mary A. Hervey -S

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Hervey -S

Date: 2024.12.12 15:20:14 -05'00'

Mary Apostolakos Hervey
Administrative Law Judge